TENTATIVE RULINGS

DEPT W15

JUDGE RICHARD Y. LEE

Date: February 26, 2026

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5915. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Do not call the department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling. The Court interprets a party's failure to appear at the hearing as a waiver of oral argument.

Remote Appearances: Department W15 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely*: (1) all counsel and self-represented parties appearing for such hearings **must,** prior to 1:30 p.m. on Thursday, check-in online via the Court's civil video appearance website (link here); and (2) participants will then be prompted to join the courtroom's Zoom hearing session.

Local Rule 375(c): Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." (Local Rule 375(c)) Specifically, the video and audio must be turned on and functioning during the hearing; and attorneys are expected to wear appropriate business attire.

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100	Hedayati vs. US Kitchen & Flooring, Inc. 23-01314563	**HEARING ADVANCED TO 9:30 A.M.** Defendants Hassan Vanaki and Sultan Abasi ("Defendants") filed a Demurrer to the Third Amended Complaint. Defendants seek an order sustaining the demurrer to the entire Third Amended Complaint, including the first cause of action for involuntary dissolution, second cause of action for accounting/common count, third cause of action for breach of fiduciary duty, fourth cause of action for declaratory relief, and fifth

		cause of action for imposition of a constructive trust. The Third Amended Complaint contains five causes of action: (1) involuntary dissolution, (2) accounting/common count, (3) breach of fiduciary duty, (4) declaratory relief, and (5) imposition of a constructive trust. (ROA 128.) A. STANDING ARGUMENT First, Defendants argue that Plaintiff does not establish standing under Corporations Code section 1800. The Court already determined that Plaintiff has alleged the requisite facts to support standing pursuant to section 1800. Here, the Third Amended Complaint is verified. (ROA 128.) Plaintiff also alleges that he "holds 1/3 of the total shares issued by KITCHEN and USKFB." (TAC, ¶ 30.) This is sufficient to establish standing pursuant to Corporations Code section 1800(a). The Demurrer is OVERRULED as to this argument. The Court notes that Defendant argues that the "Court's prior ruling on the SAC expressly noted that while Plaintiff had adequately pled standing as to KITCHEN, standing as to USKFB remained defective." This is not true. The Court overruled Defendant's demurrer on this ground in its entirety. The Court stated: "Here, Plaintiff filed a verification on May 22, 2025. (ROA 96.) Plaintiff also alleges that he 'holds 1/3 of the total share issued by KITCHEN and TSKFB." (SAC, ¶ 47.) This is sufficient to establish standing pursuant to Corporations Code section 1800(a). The Demurrer on this ground is OVERRULED as to this argument." (ROA107.) B. CAUSES OF ACTION *1. First Cause of Action for Involuntary Dissolution* Defendants argue that the first cause of action for involuntary dissolution fails

		because: (1) Plaintiff does not meet the 33⅓% threshold ownership required to petition for involuntary dissolution under Corp. Code § 1800(a)(2), as the TAC admits the existence of at least four shareholders in USKFB and (2) allegations of "deadlock" are factually and legally insufficient—Plaintiff concedes that there are three directors, which undercuts the plausibility of a 50/50 deadlock as required by Corp. Code § 1800(b)(2). Plaintiff's first cause of action is brought individually for involuntary dissolution pursuant to California Corporations Code section 1800(b)(2). Based on the allegations in the TAC, it does not appear that this cause of action is brought pursuant to any authority other than Corporations Code section 1800(b)(2). Section 1800(b)(2) states that the grounds for involuntary dissolution are that: "(2) The corporation has an even number of directors who are equally divided and cannot agree as to the management of its affairs, so that its business can no longer be conducted to advantage or so that there is danger that its property and business will be impaired or lost, and the holders of the voting shares of the corporation are so divided into factions that they cannot elect a board consisting of an uneven number." (Corp. Code, § 1800, subd. (b)(2).) Here, Plaintiff alleges that he "is one of the three shareholders and one of three directors of KITCHEN and USKFB, with Defendants ABASI and VANAKI constituting the other two directors." (TAC, ¶ 30.) Plaintiff also alleges that "Grounds exist for involuntary dissolution of Defendant KITCHEN pursuant to California Corporations Code section 1800(b)(2) and/or other relevant provisions of the California Corporations Code. KITCHEN has experienced pervasive deadlock and dissension between its three shareholders and directors as to the issues raised herein. The deadlock is intractable and justifies the dissolution of KITCHEN." (TAC, ¶ 47.)

		Based on the above, Plaintiff has not alleged the above requirements under section 1800(b)(2) because Plaintiff has not (and appears cannot) allege that there are "an even number of directors who are equally divided." The Demurrer is therefore SUSTAINED WITH FINAL LEAVE TO AMEND as to the first cause of action for voluntary dissolution. The Court notes Plaintiff attempts to argue that he has alleged futility. Importantly, however, the TAC expressly states that Plaintiff brings the first cause of action as an individual. As such, Plaintiff's allegations regarding futility are not applicable. The futility analysis only becomes relevant when pleading a derivative rather than a direct/individual action. "[A] derivative suit is one in which the shareholder seeks redress of the wrong to the corporation." (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 793.) "Thus, an action 'is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.'" (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 793 [*citing Jones v. H.F. Ahmanson & Co*. (1969) 1 Cal.3d 93, 106].) "On the other hand, a direct or individual suit by a stockholder 'is a suit to enforce a [ ] right against the corporation which the stockholder possesses as an individual.'" (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 793 [*citing Jones v. H.F. Ahmanson & Co.* (1969) 1 Cal.3d 93, 107].) "As a precondition for bringing a derivative action on behalf of the corporation, the shareholder should show to the satisfaction of the court that he has exhausted all the means within his reach to obtain, within the corporation itself, the redress of his grievances, or action in conformity with his wishes." (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 789.) "The failure to comply with this requirement under section

		800(b)(2) leaves a shareholder/plaintiff without standing to bring a derivative claim on behalf of the corporation." (*Id*. at 793.) The "requirement that a shareholder establish that he or she made a suitable demand, unless excused by extraordinary conditions is to encourage intracorporate resolution of disputes and to protect the managerial freedom of those to whom the responsibility of running the business is delegated." (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 789-790.) "The demand requirement is also intended to prevent the abuse of the derivative suit remedy." (*Id*. 790.) "Demand typically is deemed futile when a majority of the directors have participated in or approved the alleged wrongdoing, [citation], or are otherwise financially interested in the challenged transactions." (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 790.) The Court also points the parties to the holding in *Holistic Supplements, L.L.C. v. Stark* (2021) 61 Cal.App.5th 530, 542. Based on the amendments to the third amended complaint and the end of Plaintiff's opposition, the Court wishes to clear up any possible confusion from its Minute Order addressing the Demurrer to the Second Amended Complaint. In the Court's minute order, the Court notes that the first cause of action is brought individually and derivatively. The Court further stated that caselaw establishes that "Plaintiff must decide whether he is asserting a direct or derivative action because 'the two actions are mutually exclusive: i.e, the right of action and recovery belongs either to the shareholders (direct action) or to the corporation (derivative action).' (*Schuster v. Gardener* (2005) 127 Cal.App.4th 305, 312.)" This, however, was not intended to mean that Plaintiff can only bring one or the other – just that the two must be distinguished and clearly identified. "[I]t is settled that one who has suffered injury both as an individual owner of a corporate entity and in an individual capacity is entitled to pursue remedies in both capacities." (*Holistic Supplements, L.L.C. v. Stark* (2021) 61 Cal.App.5th 530, 542.) The

		Court's minute order was not meant to limit Plaintiff's capacity to one or the other. Rather, it was meant to require Plaintiff to delineate the claims, facts, and injuries attributed to each capacity. *2. Second Cause of Action for Accounting/Common Count* Plaintiff's second cause of action is for accounting. "An action for an accounting has two elements: (1) 'that a relationship exists between the plaintiff and defendant that requires an accounting' and (2) 'that some balance is due the plaintiff that can only be ascertained by an accounting.'" (*Sass v. Cohen* (2020) 10 Cal. 5th 861, 869.) "An accounting action is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation." (*Id*.) "[T]he defendant in an accounting action possesses information unknown to the plaintiff that is relevant for the computation of money owed." (*Id*.) "An action for an accounting has been characterized as "a means of discovery." (*Id*.) Defendants argue that Plaintiff cannot bring his accounting cause of action because the amount Plaintiff alleges is owed is expressly identified in the TAC. Plaintiff expressly alleges that "Plaintiff HEDAYATI was to receive a salary of $6,000.00 per month from Defendant KITCHEN." (TAC, ¶ 37.) ". Plaintiff HEDAYATI was to receive a salary of $6,000.00 per month from Defendant USKFB, Inc." (TAC, ¶ 38.) "Plaintiff HEDYATI is owed approximately $70,000.00 in back wages from USKFB and approximately $42,000.00 from Defendant KITCHEN." (TAC, ¶ 39.) Plaintiff also alleges that "Plaintiff HEDAYATI was to receive $6,000.00 per month from the account held for Defendant KITCHEN, and $6,000.00 per month from the account held for Defendant USKFB, Inc. since approximately 2020." (TAC, ¶ 59.)

		Based on these allegations, Plaintiff would not need an accounting in order to calculate the amount due. However, Plaintiff also alleges that Defendants have "withheld funds specifically from the Plaintiff apart from other shareholders." (TAC, ¶ 10.) "The Plaintiff seeks individual redress for these harms, as the other shareholders of these two entities are receiving their salaries, and their equitable distributions from the corporations." (TAC, ¶ 41.) Plaintiff further alleges: "As a result of the aforementioned circumstances concerning the day-to-day operations of KITCHEN and USKFB Plaintiff is not in a position to determine either the current (or recent) inventory, receivables, pending projects, nor the current (or recent) financial status, of KITCHEN or USKFB. This would include whether or not any earnings/profits of KITCHEN and USKFB are currently owed to Plaintiff. Without an accounting of receipts, transactions, and current KITCHEN and USKFB's assets Plaintiff cannot determine the financial status of the corporations." (TAC, ¶ 53.) "The amount of money due from Defendant(s) to Plaintiff, if any, is unknown to Plaintiff and cannot be ascertained without an accounting of the income, interest, and location of KITCHEN's and USKFB's assets along with all relevant financial transactions of KITCHEN and USKFB." (TAC, 54.) "Plaintiff Hedayati has further suffered harm, specific to him, which the other shareholders of the corporation have not suffered as a result of Defendants Abasi and Vanaki withholding Plaintiff Hedayati's salary, and equitable distributions." (TAC, ¶ 66.) The Court finds that Plaintiff has sufficiently alleged a cause of action for accounting. As such, the Demurrer to the second cause of action for accounting is OVERRULED. The Court notes that it did not rule or address whether the elements of Plaintiff's accounting cause of action were properly alleged in the Second Amended Complaint because Plaintiff did not overcome the first hurdle of identifying which causes of action were

		brought derivatively or directly. Thus, Plaintiff's argument that this cause of action need not be addressed because "the Court's only indicated issue with the accounting cause of action was the allegation of both an individual and derivative cause of action" is without merit. *3. Third Cause of Action for Breach of Fiduciary Duty* In California, "[t]he elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach." (*O'Neal v. Stanislaus County Employees' Retirement Assn*. (2017) 8 Cal.App.5th 1184, 1215.) "A fiduciary relationship is any relation existing between parties to a transaction wherein one of the parties is in duty bound to act with the utmost good faith for the benefit of the other party." (*Wolf v. Superior Court* (2003) 107 Cal.App.4th 25, 29, as modified on denial of reh'g (Mar. 20, 2003) [citations omitted].) "Such a relation ordinarily arises where a confidence is reposed by one person in the integrity of another, and in such a relation the party in whom the confidence is reposed, if he voluntarily accepts or assumes to accept the confidence, can take no advantage from his acts relating to the interest of the other party without the latter's knowledge or consent." (*Ibid*.) "A minority shareholder may bring a cause of action for breach of fiduciary duty against majority shareholders as an individual claim or as a derivative claim, depending on the circumstances." (*Schrage v. Schrage* (2021) 69 Cal.App.5th 126, 149.) The Court in *Schrage v. Schrage* continued: "[W]here conduct, including mismanagement by corporate officers, causes damage to the corporation, it is the entity that must bring suit; the individual shareholder may not bring an action for indirect personal losses (i.e., decrease in stock value) sustained as a result of the overall harm to the entity." (*Bader v. Anderson, supra*, 179 Cal.App.4th at p. 788,

		101 Cal.Rptr.3d 821; *see Heshejin v. Rostami* (2020) 54 Cal.App.5th 984, 994, fn. 10, 268 Cal.Rptr.3d 836 [" ' "a shareholder cannot bring a direct action for damages against management on the theory their alleged wrongdoing decreased the value of his or her stock (e.g., by reducing corporate assets and net worth)" ' "; instead, the " ' "corporation itself must bring such an action, or a derivative suit may be brought on the corporation's behalf" ' "]; *Oakland Raiders v. National Football League* (2005) 131 Cal.App.4th 621, 651, 32 Cal.Rptr.3d 266 [plaintiff's breach of fiduciary duty claim for corporate mismanagement and diverting corporate assets was derivative]; *PacLink Communications Internat., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 964, 109 Cal.Rptr.2d 436 [minority members' fraudulent transfer claim was derivative where the "injury was essentially a diminution in the value of their membership interest in the [limited liability company] occasioned by the loss of the company's assets"]; *Nelson, supra*, 72 Cal.App.4th at pp. 125-126, 84 Cal.Rptr.2d 753 [minority shareholder's breach of fiduciary duty claim alleging the other shareholder of the corporation negligently managed the business was derivative]; *Marsh et al., Marsh's Cal. Corporation Law* (2021 supp.) Derivative Action, § 15.11[A][1] ["The clearest cases [of derivative actions] are those involving situations where the alleged wrongful actions of the defendants have reduced the corporate assets and net worth."].)" (*Ibid*.) "The stockholder's individual suit, on the other hand, is a suit to enforce a right against the corporation which the stockholder possesses as an individual." (*Schrage v. Schrage* (2021) 69 Cal.App.5th 126, 150.) "For example, '[i]f the injury is one to the plaintiff as a stockholder and to him individually, and not to the corporation, as where the action is based on a contract to which he is a party, or on a right belonging severally to him, or on a fraud affecting him directly, it is an individual action.'" (*Ibid*.) "The individual wrong necessary to support a suit by a shareholder need not be unique to that plaintiff." (*Ibid*.) "The same injury may affect a substantial number of shareholders."

		(*Ibid*.) "If the injury is not incidental to an injury to the corporation, an individual cause of action exists." (*Ibid*.) Here, the Court finds that Plaintiff has expressly alleged that he is bringing an individual/direct suit for breach of fiduciary duty. Plaintiff alleges that "Defendants owes fiduciary duties of care, loyalty, and good faith to the Companies' directors, officers, and shareholders." (TAC, ¶ 62.) Plaintiff alleges a laundry list of way that Defendants have breached their fiduciary duty Plaintiff, including but not limited to: by failing to disburse sums owed to the Plaintiff, while, on information and belief, claiming such disbursements for presumed tax benefits contrary to reality as alleged supra, failing to produce requested corporate governing documents, seeking to disenfranchise Plaintiff Hedayati, by failing to pay him as owed from the corporation, and by entrenching themselves as Company management and members of the Companies' board at the expense of the Plaintiff, withholding Plaintiff's salary and equitable distributions. (TAC, ¶¶ 63-74.) Plaintiff further alleges damages in the form of withheld salary and equitable distribution. The Demurrer to the third cause of action for breach of fiduciary duty is OVERRULED. *4. Fourth Cause of Action for Declaratory Relief* "Declaratory relief is an equitable remedy and need not be awarded if the circumstances do not warrant." (*Artus v. Gramercy Towers Condominium Assn*. (2018) 19 Cal.App.5th 923, 930.) The Demurrer to the fourth cause of action for declaratory relief is OVERRULED. *5. Fifth Cause of Action for Imposition of a Constructive Trust* "The propriety of granting equitable relief of imposition of a constructive trust rests within the sound discretion of the trial court." (*GHK*

		Associates v. Mayer Group, Inc. (1990) 224 Cal.App.3d 856, 877–878.) *GHK Associates v. Mayer Group, Inc*. (1990) 224 Cal.App.3d 856, 878 explains: "The principal constructive trust situations are set forth in Civil Code sections 2223 and 2224. Section 2223 provides that '[o]ne who *wrongfully* detains a thing is an involuntary trustee thereof, for the benefit of the owner.' (Emphasis added.) Section 2224 provides that: '[o]ne who gains a thing by fraud, accident, mistake, undue influence, the violation of a trust, or other *wrongful act*, is, unless he has some other and better right thereto, an involuntary trustee of the thing gained, for the benefit of the person who would otherwise have had it.' (Emphasis added.) The only conditions necessary to create a constructive trust are those stated in the above sections. [Citations.] In order to provide the necessary flexibility to apply an equitable doctrine to individual cases, these sections state general principles for a court's guidance rather than restrictive rules. [Citations.] Thus, it has been pointed out that 'a constructive trust may be imposed in practically any case where there is a wrongful acquisition or detention of property to which another is entitled.' [Citation.]" The Demurrer to the fifth cause of action for constructive trust is OVERRULED. Plaintiff has alleged that Defendants are in wrongful possession of Plaintiff's salary and equitable distributions. In sum, the Demurrer is SUSTAINED WITH LEAVE TO AMEND as to the first cause of action for involuntary dissolution and OVERRULED as to the second cause of action for accounting, third cause of action for breach of fiduciary duty, fourth cause of action for declaratory relief, and fifth cause of action for constructive trust. *Plaintiff to give notice.*
101	Zions Bancorporation, N.A. vs. Signsource, Inc. 24-01440384	**HEARING ADVANCED TO 9:30 A.M.** <u>Motion to Strike First Amended Complaint</u> Defendant, John C. Mearns ("Mearns"), moves for an order striking the First Amended

		Complaint of Plaintiff, Zions Bancorporation, N.A. dba California Bank & Trust, in its entirety pursuant to Code of Civil Procedure section 436(b). No opposition has been filed. Mearns contends that Plaintiff's successive complaints in this action contain improper matter in the form of contradictory allegations and documents as the original Complaint and FAC allege that the parties entered into an agreement in 2008, but attach as Exhibit "B", terms and conditions dated 2023 in the original complaint, and terms and conditions dated 2016 in the FAC, which post-date the alleged agreement. Mearns asserts that the substitution of a new contract as the operative "terms and conditions," which is dated years after the parties entered into the alleged agreement constitutes sham pleading which should be stricken. Mearns also contends that the agreement of 2008 is illegible, and that the second agreement, a "written guaranty" is likewise entirely illegible in both the original Complaint and the FAC as well as unsigned. Mearns additionally contends that the FAC is not saved by the common counts because all of these theories require an "agreement" between the parties, which the FAC fails to show, and that the FAC cannot be cured by amendment. Mearns asserts that Defendant's counsel has given Plaintiff several opportunities to provide legible, executed contracts, but that in response, Plaintiff provided no term sheet from 2008, and provided an unsigned guaranty agreement. Lastly, as alternative relief, Mearns requests a ruling on the Demurrer only if the court does not strike the FAC. Under Code of Civil Procedure section 436, the court may, upon a motion or at any time in its discretion, and upon terms it deems proper, strike out "...any irrelevant, false, or improper matter inserted in any pleading" or "all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc. § 436(a)-(b); *See Quiroz v. Seventh Ave. Ctr*. (2006) 140 Cal.App.4th

		1256, 1281.) Irrelevant matters include allegations not essential to a claim or defense, allegations not pertinent to nor supported by a sufficient claim or defense, or requesting relief not supported by the allegations of the complaint or cross-complaint. (Code Civ. Proc. § 431.10(b).) Mearns cites to Code of Civil Procedure section 436(b) for the proposition that a defendant may move to strike an entire pleading based upon improper matter filed therein, but striking improper matter pertains to Section 436(a). (Motion to Strike, 4:4-5.) Code of Civil Procedure section 436, subdivision (a) does not authorize attacks on entire causes of action or entire pleadings. (*Ferrero v. Camarlinghi* (2008) 161 Cal.App.4th 509, 528.) The purpose is to "authorize the excision of superfluous or abusive allegations." (*Ibid*.) Here, Mearns seeks to strike the entire FAC, and a motion to strike the entire FAC based on improper matter is not authorized under Section 436(a). To the extent Mearns moves to strike under Code of Civil Procedure section 436, subdivision (b), Section 436(b) authorizes "the striking of a pleading due to improprieties in its form or the procedures pursuant to which it was filed." (*Ferrero v. Camarlinghi* (2008) 161 Cal.App.4th 509, 528.) While Code of Civil Procedure section 436, subdivision (b) "might be broadly construed to reach any deficiency in a pleading, including substantive ones, that is not its purpose or its effect." (*Ibid*.) This provision challenges a pleading filed in violation of a deadline, court order, or requirement of prior leave of court. (*Ibid*.) Here, Mearns' arguments that Plaintiff's successive complaints contain improper matter in the form of contradictory allegations and documents, that the FAC constitutes a sham pleading, that the agreement and written guaranty attached to the FAC are illegible, that the guaranty is unsigned, that the common counts do not save the FAC, and that the deficiencies cannot be cured by amendment as Plaintiff has demonstrated the inability to provide legible, executed agreements, do not constitute improprieties in the FAC's form or the procedures to which

		it was filed under Code of Civil Procedure section 436(b). As Mearns fails to show that striking the FAC is authorized under Code of Civil Procedure section 436(a) or (b), Mearns' motion to strike the entire FAC is DENIED. <u>Demurrer to First Amended Complaint</u> Mearns demurs to the entire First Amended Complaint ("FAC") of Plaintiff, Zions Bancorporation, N.A. dba California Bank & Trust, and each of the four causes of action alleged therein on the grounds that each cause of action fails to state facts sufficient to state a cause of action and is uncertain. No opposition has been filed. *Sham Pleading* Mearns contends that the FAC contains contradictory allegations and documents. Mearns asserts that terms of the alleged contract attached as Exhibit "2" to the FAC constitutes sham pleading as the first Exhibit "2" was dated in 2023, and the second one is dated 2016, and neither the term sheet in the original Complaint, nor the term sheet in the FAC is dated consistently with the credit card agreement attached as Exhibit "1" to the FAC. "Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. [Citations.]" (*Deveny v. Entropin, Inc*. (2006) 139 Cal.App.4th 408, 425.) The sham pleading does not apply if a plausible explanation for the amendment is given. (*Id*. at p. 426.) "The sham pleading doctrine is not 'intended to prevent honest complainants from correcting erroneous allegations . . . or to prevent correction of ambiguous facts.' [Citation.] Instead, it is intended to enable courts 'to prevent an abuse of process.' [Citation.]" (*Ibid*.) The trial court may disregard amendments that omit harmful allegations in the original complaint or add allegations inconsistent with it. (*State of California ex rel. Metz v. CCC Information Services, Inc*. (2007) 149 Cal.App.4th 402, 412, 57 Cal.Rptr.3d 156; *Oakland Raiders v.*

		National Football League, supra, 131 Cal.App.4th at pp. 652–652, 32 Cal.Rptr.3d 266 [applying sham pleading doctrine to request for leave to amend in summary judgment context].) (*Falcon v. Long Beach Genetics, Inc.* (2014) 224 Cal. App. 4th 1263, 1281.) Where an amended pleading omits allegations without providing an explanation, the trial court properly considers the allegations from the earlier complaints when ruling on the demurrers. (*Larson v. UHS of Rancho Springs, Inc*. (2014) 230 Cal.App.4th 336, 345.) Here, the original Complaint alleged that Plaintiff and Defendants entered into a written contract on or about November 18, 2008, pursuant to which a Visa Business Credit Card Agreement was issued, and purported to attached copies of the Business Credit Card Agreement and Disclosure Statement as Exhibit "1". (Ex. A to Mearns' Request for Judicial Notice, Complaint, ¶ 8.) Said Business Credit Card Agreement and Disclosure Statement had an effective date of "04/24/2023." (Ex. A to Mearns' Request for Judicial Notice, Ex. 1 to Complaint.) The subject FAC replaces the prior Business Credit Card Agreement and Disclosure Statement attached to the original complaint and purports to attach a copy of the "Visa Business Credit Card Agreement" as Exhibit "2" to the FAC. (FAC, ¶ 11.) Said Visa Business Credit Card Agreement had an effective date of "1/1/2016." (Ex. 2 to FAC.) Mearns fails to show that replacing the copy of the subject agreement attached to the Complaint with a different one in the FAC omits a harmful allegation from the Complaint or adds allegations inconsistent with the Complaint, and renders the entire FAC a sham. Even assuming the agreement attached to the FAC is treated as a sham, the Court may disregard the amendment that omits the harmful allegations or adds allegations inconsistent with it, but this, in itself, is not a basis to sustain a demurrer to the entire FAC.

		First Cause of Action for Breach of Written Contract Mearns asserts that Plaintiff has not sufficiently alleged the existence and terms of the agreement as the terms attached as Exhibit "2" post-date the date of the credit card application agreement by eight years as it is alleged that the credit card application agreement was entered into on or about November 12, 2008 with a personal guaranty by Mearns, but that the terms have an effective date of January 1, 2016, such that the attached terms cannot be the terms for the 2008 agreement. Mearns also contends that the application and guaranty are illegible, and that the guaranty is not signed. A demurrer may be brought on the grounds that the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.10(e).) It may also be brought on the ground that the pleading is uncertain. (Code Civ. Proc. § 430.10(f).) "As used in this subdivision, 'uncertain' includes ambiguous and unintelligible." Demurrers for uncertainty "are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (*Lickiss v. Fin. Indus. Regulatory Auth*. (2012) 208 Cal.App.4th 1125, 1135.) "[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) "A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. … In order to plead a contract by its legal effect, plaintiff must 'allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.'" (*McKell v. Washington Mut., Inc*. (2006) 142 Cal. App. 4th 1457, 1489.)

		Here, in support of Plaintiff's cause of action for breach of written contract, Plaintiff purports to attach copies of the purported credit card agreement and personal guaranty upon which it relies. (FAC, ¶ 13.) The FAC alleges that on or about November 12, 2008, Defendant, Signsource, Inc. applied for a California Bank & Trust Visa Business Credit Card which included a personal guaranty by Defendant Mearns; that on or about December 14, 2008, the application was granted and Plaintiff issued a Visa Business Credit Card to Defendant Signsource, Inc., and purports to attached true copies of the application and guaranty as Exhibit "1", and "Visa Business Credit Card Agreement" as Exhibit "2" to the FAC. (FAC, ¶¶ 10-11, Exs. 1 and 2.) However, the "Visa Business Credit Card Agreement" attached as Exhibit "2" had an effective date of "1/1/2016" such that it could not have been the applicable terms for the subject agreement in 2008 when the card was issued. In addition, Mearns correctly argues that the Visa Business Credit Card Application and personal guaranty attached as Exhibit "1" to the FAC are illegible. The FAC purports to attach a legible copy of the personal guaranty as Exhibit "3", but many of the terms remain illegible. Nor does the FAC expressly allege that Mearns signed the personal guaranty. Based on the foregoing, Plaintiff has not adequately pled the existence and terms of the subject 2008 agreement or personal guaranty, without which the basis for the first cause of action is also uncertain. *Second through Fourth Causes of Action* Mearns contends that the demurrers to the common counts must be sustained because all of these theories require an "agreement" between the parties, and that Plaintiff has expressly showed that it does not have an enforceable agreement which demonstrates that it cannot succeed with these equitable claims. The common counts in the FAC include the second cause of action for money had and received, third cause of action for money lent, and fourth cause of action for account stated.

		"A common count is not a specific cause of action, however; rather it is a simplified form of pleading normally used to aver the existence of various forms of monetary indebtedness, including that arising from an alleged duty to make restitution under an assumpsit theory. [Citations] When a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable. [Citations.]" (*McBride v. Boughton* (2004) 123 Cal.App.4th 379, 394 [finding common count for money had and received must "stand or fall" with first cause of action for unjust enrichment].) Here, the first cause of action for breach of written contract alleges that Defendants defaulted as to the subject "Business Credit Card Agreement" by failing to timely make payments which became due and that Plaintiff has been damaged in the sum of $80,793.01, together with interest at the Contract Rate Interest of 14.95 percent per annum from and after August 13, 2024. (FAC, ¶¶ 15-16.) The second through fourth causes of action seek the same recovery as the first cause of action for breach of written contract and is based on the same facts. (FAC, ¶¶ 20-21, 23-24, 26, 28.) Therefore, they are demurrable for the same reasons the first cause of action is demurrable. If a complaint does not state a cause of action, but there is a reasonable possibility that the defect can be cured by amendment, leave to amend must be granted. (*Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.) "The onus is on the plaintiff to articulate the 'specifi[c] ways' to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend 'only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case.' [Citation.]" (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145.) Plaintiff has not opposed the demurrer and has not articulated the way it will cure the defects above. Plaintiff has already attempted to cure the defects in

		response to Mearns' demurrer to the Complaint but has not done so by way of the FAC. Therefore, a potential effective amendment is not apparent. The demurrers to the first through fourth causes of action of the FAC are SUSTAINED, without leave to amend. The Court GRANTS Mearns' request for judicial notice as to the Complaint filed in this case, and the notice of demurrer and demurrer to Complaint filed by Mearns, pursuant to Evidence Code section 452(d) as court records. The Case Management Conference is to proceed as scheduled. *Mearns to give notice.*
102	Gleason vs. KIA America, Inc. 25-01479257	*Motions are Off-calendar.* *The Case Management Conference will proceed as scheduled.*
103	Clelland vs. Ahmed 24-01397889	*Off-calendar.*
104	Beck vs. Hyundai Motor America 24-01449479	**HEARING ADVANCED TO 9:30 A.M.** Plaintiff, Jeffrey Elmont Beck, moves for an order granting Plaintiff leave to file his Second Amended Complaint for Products Liability. Specifically, Plaintiff seeks leave to amend the First Amended Complaint to add Hyundai Motor Manufacturing Alabama ("HMMA"), who manufactured the vehicle and Hyundai Motor Company ("HMC"), who designed the vehicle, as defendants. Plaintiff also seeks leave to correct the description of the subject 2007 Hyundai Sonata that was erroneously described as a 2006 Hyundai Sonata. Plaintiff additionally seeks to make minor amendments reflecting the dismissal of Hyundai Motor Korea and Hyundai Motor Group as defendants, by deleting all references to such parties, and inserting "HMMA" and "Hyundai Motor Company." Plaintiff contends that the case is not at issue, no trial date has been set, and granting leave to amend will not cause prejudice to any

		party whereas denial of the motion will unfairly prejudice Plaintiff as it is necessary to get the manufacturer, distributor, and designer of the 2007 Hyundai before this Court to properly pursue a personal injury case under the products liability theory of recovery. Defendant, Hyundai Motor America ("HMA"), contends that Plaintiff should not be granted leave to amend the complaint to name HMMA or HMC as defendants because his claims against HMC and HMMA are barred by the statute of limitations, and that to the extent that Plaintiff seeks to amend his pleading by substituting HMC and/or HMMA for Doe defendants, which is not explicitly requested in the motion for leave to amend, Plaintiff's motion for leave to amend should also be denied because the requested amendment does not relate back to any factual allegations in the original complaint or First Amended Complaint against Doe defendants. HMA also contends that even if the relation-back doctrine applies, the Court also has inherent power to dismiss a complaint against a Doe defendant, i.e., HMMA and HMC, under Code of Civil Procedure section 581(m) as Plaintiff unreasonably delayed in filing and serving the request for leave to amend after the identity of the proposed new defendants and Plaintiff's claims against them were known, and that Plaintiff was not ignorant of the proposed new defendants based on Plaintiff's deposition testimony referencing the owner's manual, a manufacturer sticker identifying HMMA as the manufacturer, and a January 25, 2023, correspondence sent by Plaintiff's counsel. HMA further contends that Plaintiff's motion for leave to amend fails to meet the procedural requirements of California Rules of Court, rule 3.1324(b) as Plaintiff's counsel's declaration fails to identify why the amendment is proper, and is insufficient to substitute HMC and HMMA for Doe defendants because it does not state that the identities of HMC and HMMA were not known by Plaintiff at the time the original complaint was filed or why the request for leave to amend was not made earlier. The court may, in furtherance of justice, and on any terms as may be proper, allow a party

		to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. (Code Civ. Proc. § 473(a)(1).) The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. (Ibid.) Additionally, any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order. (Code Civ. Proc. § 576.) California courts generally exercise their discretion liberally to permit the amendment of pleadings at all stages of the proceeding in order to resolve cases on their merits. (*IMO Development Corp. v. Dow Corning* (1982) 135 Cal. App. 3d 451, 461.) This liberality only applies so long as there is no prejudice to the opposing party. (*Higgins v. Del Faro* (1981) 123 Cal. App. 3d 558, 564.) Leave to amend can be denied if the party seeking the amendment has been dilatory, and the delay has prejudiced the opposing party. (*Hirsa v. Sup.Ct. (Vickers)* (1981) 118 Cal. App. 3d 486, 490; *Melican v. Regents of Univ. of Calif.* (2007) 151 Cal. App. 4th 168, 176; *Fisher v. Larsen* (1982) 138 Cal. App. 3d 627, 649 [finding where plaintiff knew for over five months that certain claims had not been properly pleaded, and took no action to amend until after a summary judgment had been granted against it, it was not an abuse of discretion to deny leave to amend the complaint].) Leave to amend to more clearly state a plaintiff's theories of liability should be liberally allowed. (*Rainer v. Buena Community Memorial Hospital* (1971) 18 Cal.App.3d 240, 253-254.) "[I]t is a rare case in which a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case. If the motion to amend is timely made and the granting of the motion will not

		prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530 [internal citations and quotation marks omitted].) Initially, the Court finds that Plaintiff's counsel's declaration sufficiently meets the requirements of California Rules of Court, rule 3.1324(b) and states why the requested amendments are necessary and proper. (Declaration of Lloyd J. Michaelson, ¶¶ 7-8.) As to the merits, no trial date is set and it appears that discovery is on-going. HMA contends that HMMA and HMC will be prejudiced by their inclusion in this lawsuit because the subject incident occurred over three years ago which will impair witness memories and potentially the retention of relevant information, and they have not been able to participate in discovery. However, a general statement of the impact of time on evidence does not establish prejudice and since a trial date has not yet been set, HMMA and HMA will have to ability to participate in discovery. In addition, the reply indicates that the parties have already discussed discovery related matter concerning HMC. (Reply Declaration of Lloyd J. Michaelson ("Reply Michaelson Decl."), ¶ 5, Ex. 2.) Accordingly, no prejudice appears. HMA contends that Plaintiff was dilatory because Plaintiff knew the identity of HMMA and HMC on December 26, 2022, when the subject incident occurred. However, for the purposes of this motion, Plaintiff's deposition testimony indicates that Plaintiff looked up certain topics in the owner's manual unrelated to the seatbelt and the mere existence of the manufacturer sticker on the driver's door that identifies HMMA as the manufacturer, do not sufficiently establish that Plaintiff actually knew of HMMA's identity on December 26, 2022, or on January 24 or 25, 2023, or by December 20, 2024, when the original Complaint was filed, or by April 30, 2025, when the First Amended Complaint was filed,

		and unreasonably delayed in seeking leave to amend. Plaintiff's counsel provides that from HMA's written discovery responses on or about September 29, 2025, Plaintiff's counsel ascertained that the subject 2007 Hyundai Sonata was manufactured by HMMA and designed by HMC. (Declaration of Lloyd J. Michaelson, ¶ 5.) In reply, Plaintiff's counsel also states that prior to the receipt of the discovery responses by HMA, counsel was not aware that the subject vehicle was manufactured by HMMA. (Reply Michaelson Decl., ¶ 4.) Additionally, in reply, Plaintiff provides that he has no recollection of looking at a sticker on the door, and the few times that Plaintiff looked at the manual, Plaintiff was looking up something specific, and that there was nothing that Plaintiff reviewed that would lead him to believe the subject vehicle was manufactured in Alabama or designed by HMC. (Declaration of Jeffrey Elmont Beck, ¶ 3.) While HMA submits that the owner's manual for the subject vehicle references HMC multiple times, there is no showing that Plaintiff saw these references to HMC, nor does HMA identify where these references can be found in the owner's manual. (Declaration of Jamison E. Power, ¶ 3, Ex. A.) HMA also provides that on or about January 25, 2023, Plaintiff's counsel sent correspondence indicating Plaintiff believed he had products liability claims against HMC. (Id., ¶ 4, Ex. B.) In reply, Plaintiff's counsel provides that while counsel became aware that HMC was a viable defendant, counsel was not aware that HMC "designed" the subject vehicle until responses to written discovery was received on or about September 29, 2025. (Reply Michaelson Decl., ¶ 4.) Even if Plaintiff's awareness that HMC was a viable defendant could be viewed as dilatory in seeking leave to amend to add to HMC as a defendant, no prejudice appears. "It is well established that 'California courts have a policy of great liberality in allowing amendments at any stage of the proceeding so as to dispose of cases upon their substantial merits where the authorization

		does not prejudice the substantial rights of others." (*Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.) HMA does not oppose the minor amendments that Plaintiff seeks. Lastly, the applicability of the statute of limitations and the relation-back doctrine may be determined by subsequent motion. Ordinarily, the judge will not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. Grounds for demurrer or motion to strike are premature. After leave to amend is granted, the opposing party will have the opportunity to attack the validity of the amended pleading. The preferred practice is to "permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings. [Citation omitted.]" (*See Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) Based on the foregoing, given the liberality in allowing leave to amend in order to resolve cases on their merits, and the lack of prejudice to HMA, Plaintiff's motion for leave to file a Second Amended Complaint is GRANTED. The Court notes that in response to HMA's arguments in opposition concerning Doe amendments, Plaintiff attaches a Doe amendment as to HMMA, and a revised proposed Second Amended Complaint which makes references to the Doe Defendants. Plaintiff requests that the Court deem this revised proposed Second Amended Complaint as the Second Amended Complaint. (Reply Michaelson Decl., ¶ 9, Exs. 3-4.) Plaintiff has already filed an Amendment naming HMC as Doe 1 on June 11, 2025. Plaintiff to file and serve the Doe Amendment naming HMMA as Doe 2 and the proposed Second Amended Complaint attached with the reply papers within 10 days. *Plaintiff to give notice.*

105	Potter vs. Brookdale Irvine 22-01278030	**HEARING ADVANCED TO 9:30 A.M.** Valentina Ambarchyan, Ambarchyan Law, APC ("Moving Attorney"), moves for an order reliving them as counsel of record for Plaintiff, Kimberly Potter. No opposition has been filed. The Court notes that a similar motion was filed and heard on 2/19/2026. That motion was continued to 2/26/2026 at 1:30 p.m. Plaintiff clearly has notice of the two motions and has filed an opposition to the motions arguing that it is inconvenient to have the motions granted as the result would leave her "without representation at a critical point of inability to find new counsel yet, incomplete Discovery for trial and defendants opposing counsel would proceed with Motions that would cause irreparable harm to this case." Having considered Plaintiff's argument, the motions are GRANTED. *Moving party to give notice and the withdrawal is only effective upon the filing of a proof of service of this order on Plaintiff.*
106	Aguirre vs. Davita, Inc. 24-01394742	**HEARING ADVANCED TO 9:30 A.M.** Plaintiff Alexis Aguirre moves for an order compelling the deposition of the person most knowledgeable for defendant Davita, Inc., and imposing a monetary sanction of $7,710.00 against defendant and its attorneys of record. Defendant Davita opposes the motion, including the request for sanctions. On April 18, 2025, plaintiff served a notice for the deposition of Davita. (Declaration of attorney Mohamed Eldessouky, ¶ 3.) Because Davita is not a real person, the notice set forth several topics for testimony so that it could designate a person most knowledgeable (PMK) to testify on its behalf per Code Civ. Proc. § 2025.230. Apparently, after meeting and conferring regarding the topics of testimony and producing at least one PMK, Amy Travin, a

		dispute arose regarding three topics of testimony in the deposition notice. On June 2, 2025, plaintiff served an amended notice of deposition and production for Davita, a copy of which is submitted as Exhibit 4 to the moving papers. This notice specified three topics of testimony: • TOPIC A: Workplace Safety Policies, Practices, and Procedures – Defendant's workplace safety policies, procedures, and practices in effect during Plaintiff's employment at the dialysis center where she worked, including OSHA compliance, infection control, bloodborne pathogen exposure, use and maintenance of personal protective equipment (PPE), and handling and disposal of biohazardous waste and hazardous chemicals. Testimony should also address how these policies were implemented, enforced, and communicated to employees, as well as procedures for reporting, investigating, and addressing safety concerns involving patients or staff. • TOPIC B: Emergency Policies and Procedures – Defendant's emergency procedures and protocols in effect during Plaintiff's employment, including but not limited to the Emergency Return and Emergency Clamp and Cut policies. This includes the content of these policies, associated training, implementation protocols, revisions, internal communications, audits, and actual use or enforcement of such procedures in clinical practice. • TOPIC C: Prior Lawsuits and Government Complaints – Any lawsuits or complains filed with a government agency against DAVITA INC. by current or former employees in California alleging wrongful termination in violation of public policy, harassment, hostile work environment, discrimination, retaliation in violation of the FEHA or Labor Code, failure to prevent harassment or discrimination, negligent supervision, hiring, or retention, and negligent or intentional infliction of emotional distress.

		The notice set the deposition date for July 4, 2025. On June 27, 2025, defendant served a written objection to the amended notice, which is submitted as Exhibit 8 to the moving papers. The objection addressed the topic of testimony and requests for production, which means that the objection was not made under Code Civ. Proc. § 2025.410. Section 2025.410 permits a party to object to "a deposition notice that does not comply with Article 2 (commencing with Section 2025.210)," i.e., a deposition notice that does not comply with the Code regarding time, date, location, time limits, etc. On July 4, 2025, defendant failed to produce its PMK for testimony or production, and plaintiff's counsel obtained a certificate of non-appearance. A copy of the certificate is submitted with the moving papers as Exhibit 9. Plaintiff now seeks to compel the deposition, and defendant opposes, contending that the topics of testimony are too broad and burdensome as well as irrelevant to the litigation. At the same time, however, defendant also contends that the motion is moot because it has already produced discovery responses covering these same topics. Defendant's objections are without merit. The amended deposition notice sets forth the general topics of questioning – not specific subjects or questions. Once the PMK is produced, defense counsel is free to make objections to specific questions. Plaintiff has met her burden to compel defendant to designate and produce for deposition a person or persons to testify as to the subjects in the amended notice. She has not, however, addressed any requests for production. As for sanctions, plaintiff's request for $7,710.00 in sanctions is excessive. The Court awards sanctions, but in a reduced amount of $2,000.

		The motion is therefore GRANTED. Defendant is to produce one or more PMKs for deposition on a mutually convenient date, no later than 45 days from notice of today's ruling. Sanctions are to be paid within 30 days. *Moving party to give notice.*
107	**HEARING ADVANCED TO 9:30 A.M.** Norton vs. Sprouts Farmers Market, Inc. 22-01282213	Defendant, SF MARKETS, LLC DBA SPROUTS FARMERS MARKET (ERRONEOUSLY SUED HEREIN AS "SPROUTS FARMERS MARKET, INC.") ("Defendant"), seeks an Order that the issue of liability be tried separately as a jury trial before the trial on damages. Defendant requests separate trials as to liability and damages in the interests of judicial economy and efficiency. Defendant argues liability will be a 2-3 day trial (Baldwin Decl. ¶5.). Whereas if "If liability and damages are tried together, it is estimated that trial will take over eighty (80) hours, and two (2) to three (3) weeks of testimony regarding Plaintiff's alleged damages." (Id.¶6.) Plaintiff's opposition is silent as to these estimates. Rather, Plaintiff's primary argument is supported by Counsel's declaration stating, "Presentation of that evidence cannot be cleanly severed from the substantial factor analysis required for liability." (Guirguis Decl.¶5.) Additionally, Defendant argues it plans to call numerous treating physicians as well as experts in the fields of orthopedics and biomechanics (Baldwin ¶6); and estimates that Plaintiff will call approximately six (6) medical providers and medical facilities, with their own team of medical providers, that they will no doubt call as part of their expert witnesses. Again, Plaintiff's opposition is silent as to the number of witnesses she intends to call. Given the difference between a 2-3 day trial and a 2-3 week trial, it appears separate trials may be conducive to expedition and economy.

		However, the trial is currently set for 8/10/2026. Before trial, there is currently a motion for summary judgment hearing reserved. The shape of the litigation and the trial estimates may change between now and the trial date. Accordingly, the motion is DENIED without prejudice to moving party seeking bifurcation by way of a motion in limine. *Moving party to give notice.*
108	**HEARING ADVANCED TO 9:30 A.M.** Dodson vs. Ford Motor Company 23-01340987	Defendants Ford Motor Company and Santa Monica Ford Lincoln (collectively "Defendants") move for summary judgment or alternatively, summary adjudication as to each of the five causes of action asserted against them in Plaintiff Hugh Dodson's ("Plaintiff") Complaint. (ROA 61.) Initially, the Court notes that the Notice of Motion and Separate Statement do not comply with CRC, Rule 3.1350(b) requiring that "the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts." Here, while the Notice of Motion seeks summary judgment, or alternatively summary adjudication of five (5) listed issues, those issues are not repeated in the defendants' separate statement. Rather, the defendants' separate statement consists of six (6) facts, not separated out by issue. As such, the Court may treat this as a motion for summary judgment only. The Court also notes that the papers (both the Defendants' motion and Plaintiff's Opposition) are cut and pasted from other documents and contain multiple errors. See for instance, page 11:5 where MPs' erroneously refer to Defendant Santa Monica Ford Lincoln as "Chino Hills Ford." See page 1:9-11 of Opposition referring to "my lease", "my mind" etc.] Relevant Facts: On November 24, 2018, Plaintiff leased a 2018 Ford Edge (the "Vehicle") from Simi

		Valley Ford in Simi Valley, California. (Migler Decl., Ex. 1.) The Standard new vehicle warranty was provided by the manufacturer or distributor of the Vehicle. (Id.) Thereafter, on 11/29/2022 Plaintiff entered into a Retail Installment Sales Contract with Tuttle-Click's Capistrano Ford, Inc. for the purchase of the same vehicle. (Id., Ex.2.) On August 4, 2023, Plaintiff filed his Complaint asserting four causes of action against Ford under the Song Beverly Consumer Warranty Act (the "Act") for breaches of express and implied warranty and a negligent repair cause of action against Santa Monica Ford Lincoln. (UMF No. 4. Migler Decl., ¶ 3, Ex. 3 (Complaint).) *1-4th Causes of Action:* Defendant argues the Court should grant summary judgment as to each of Plaintiff's first through fourth causes of action for violations of the Song-Beverly Act because Plaintiff cannot bring claims under the Act against Ford based on the purchase of a "used" vehicle. Initially, some relevant code sections are as follows: Cal. Civ. Code §1791(a) provides. "As used in this chapter: (a) 'Consumer goods' means any new product or part thereof that is used, bought, or leased for use primarily for personal, family, or household purposes, except for clothing and consumables. 'Consumer goods' shall include new and used assistive devices sold at retail." Cal. Civ. Code §1792, provides, "Unless disclaimed in the manner prescribed by this chapter, every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable. The retail seller shall have a right of indemnity against the manufacturer in the amount of any liability under this section."

		Cal. Civ. Code, §1793.22 (e)(2) states, "(e) For the purposes of subdivision (d) of Section 1793.2 and this section, the following terms have the following meanings: (2) 'New motor vehicle' means a new motor vehicle that is bought or used primarily for personal, family, or household purposes…" Cal Civ. Code §1793.2(d)(2)(D) provides, "(2) If the manufacturer or its representative in this state is unable to service or repair a new motor vehicle, as that term is defined in paragraph (2) of subdivision (e) of Section 1793.22, to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either promptly replace the new motor vehicle in accordance with subparagraph (A) or promptly make restitution to the buyer in accordance with subparagraph (B). However, the buyer shall be free to elect restitution in lieu of replacement, and in no event shall the buyer be required by the manufacturer to accept a replacement vehicle. (D) Pursuant to Section 1795.4, a buyer of a new motor vehicle shall also include a lessee of a new motor vehicle." In this instance, Defendant relies on the California Supreme Court case of *Rodriguez v. FCA US, LLC* (2024) 17 Cal.5th 189 (Rodriguez) which held that "a motor vehicle purchased with an unexpired manufacturer's new car warranty does not qualify as a 'motor vehicle sold with a manufacturer's new car warranty' under section 1793.22, subdivision (e)(2)'s definition of 'new motor vehicle' unless the new car warranty was issued with the sale." (*Id*. at p. 196.) The Supreme Court explained that the Song-Beverly Act "includes a distinct section addressing used products," noting that Civil Code section 1795.5 states that: "Notwithstanding the provisions of subdivision (a) of Section 1791 defining consumer goods to mean 'new' goods, the obligation of a distributor or retail seller of used consumer goods in a sale in which an express warranty is given shall be the same as that imposed on manufacturers under this chapter…" (*Id*. at 200-201.) The Court emphasized that "[i]n other words, [s]ection 1795.5 provides

		express warranty protections for used goods only where the entity selling the used product issues an express warranty at the time of sale." (*Id*. at 201 [internal citations omitted, emphasis in original].) In short, "the basic framework of the Song-Beverly Act distinguishes between new and used products and 'provides similar remedies in the context of the sale of used goods, except that the manufacturer is generally off the hook.' [Citation.]" (*Ibid*.) Here, Defendants have submitted evidence that Plaintiff bought the subject vehicle on 11/29/2022 from Tuttle-Click's Capistrano Ford, Inc. (Id., Ex.2.) While Defendants argue, "There is no dispute that Plaintiff purchased the Vehicle used and there is no evidence that a new warranty was issued when Plaintiff purchased or otherwise acquired the Vehicle" (motion page 10:27-28); there is no corresponding Fact (and supporting evidence) relating to this critical argument in the separate statement. Nevertheless, Plaintiff appears eager to establish a warranty was present when he sets forth in his PUMF No. 1, which states: 1. On or about November 29, 2022, Plaintiff entered into a warranty contract with Defendant regarding a 2018 Ford Edge, vehicle identification number 2FMPK3J93JBC56121 (hereafter "Subject Vehicle" of "Vehicle"), which was manufactured and/or distributed by FMC. Plaintiff first leased the Vehicle new in 2018 when it had 21 miles on the odometer. After the end of my lease, in 2022, he exercised a purchase option on the Vehicle. Although legally the form of my "ownership" of the Vehicle changed, in my mind it was always been the same. Plaintiff was the first and only owner of this Vehicle, since he first drove it home from the dealership when it was brand new, in 2018. (Dodson Decl. ¶ 3, Ex. 1.) However, in reviewing Ex. 1 attached to Plaintiff's declaration, it is the 2018 Lease Agreement between Plaintiff and Simi Valley Ford. Underneath that document (and not separated by any tabs), is the 2022 Retail

		Installment Contract between Plaintiff and Tuttle-Click which identifies the vehicle as "used." Although the 2018 Lease contained the standard manufacturer warranty, it does not appear, through the Court's reading of the documents, that any new warranties were provided in the Retail Installment Contract for the purchase of the vehicle. That is, Plaintiff's suggestion that he entered into a "warranty contract" with Defendant on 11/29/2022, does not appear accurate or supported by the evidence. Nevertheless, Plaintiff argues it is the first sale to a retail buyer that triggers the protections under the SBA. In support of that argument Plaintiff cites to Cal. Civ. Code § 1793.2(d)(2)(D)(set forth above); *Crayton v. FCA US LLC*, (2021) 63 Cal.App.5th 194, 202; and *Kirzhner v. Mercedes-Benz USA, LLC* (2020) 9 Cal.5th 966, 969. Yet, these cases are not helpful to the Court's analysis. *Crayton* involved the question of whether a lessee was entitled to the residual value of the vehicle. It involved the original lessee, and not a subsequent sale (as here). *Kirzhner* which involved a lessee's action against lessor is equally non-persuasive as it involved subsequent registration renewal and nonoperation fees. That is, it did not involve the situation here that involves a lease and subsequent purchase. Finally, as to Section 1793.2(d)(2)(D), it does not answer the question of whether the Subject Vehicle here is a "new motor vehicle" given Plaintiff purchased it used in a separate transaction four years later at another dealership after the lease expired. Ultimately, this Court is mindful of the Supreme Court's language in *Rodriguez*, "…we think that if the Legislature had intended to define " 'new motor vehicle' to include a potentially vast category of used cars" with unexpired new car warranties, "it would have been done so more clearly and

		explicitly than tucking it into a reference to demonstrators and dealer-owned vehicles." [*Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 199.] Because there is no evidence before the Court that a new car warranty was issued with the sale of the vehicle, the Motion as to Issues 1-4 is GRANTED. *5th cause of action:* Defendants argue that the negligent repair cause of action against Defendant Santa Monica Ford Lincoln is barred by the economic loss rule because a) the crux of Plaintiff's claim is that Santa Monica Ford Lincoln failed to repair his vehicle to conform to warranty, and b) there is no allegation or proof of physical damage to property or personal injury other than the vehicle itself or of personal injury accompanied by such losses. Defendants cite to *Pilgrim* for law pertaining to the rule: The economic loss rule precludes recovery in tort where a plaintiff's damages consist solely of economic loss. See *Seely v. White Motor* Co., 63 Cal. 2d 9, 17–18 (1965), superseded by statute on other grounds. "California Courts define economic loss as 'damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits – without any claim of personal injury or damages to other property.' " *Dep't of Water & Power v. ABB Power T&D Co*., 902 F. Supp. 1178, 1186 n.4 (C.D. Cal. 1995). Unless the purchaser "can demonstrate harm above and beyond a broken contractual promise," the economic loss rule requires that he recover in contract for purely economic loss. *Robinson Helicopter Co., Inc. v. Dana Corp*., 34 Cal. 4th 979, 988 (2004) (holding "the economic loss rule prevents the law of contract and the law of tort from dissolving one into the other") (internal citation and quotation marks omitted). [*Pilgrim v. General Motors Company* (C.D. Cal., Nov. 19, 2020, No. CV 15-8047-JFW

		(EX)) 2020 WL 7222098, at *10, aff'd sub nom. *Estate of Pilgrim v. General Motors LLC* (9th Cir., Dec. 15, 2021, No. 20-56073) 2021 WL 5917584.] Defendants provide evidence that Plaintiff seeks damages for the defective vehicle itself. [See UMF No. 5,6.] As such, the burden shifted to Plaintiff to create a triable issue of material fact. To that end, Plaintiff's 4 ¼ page Opposition entirely fails to address the 5th cause of action. Furthermore, as to Nos. 5 and 6 above, Plaintiff "disputes" these facts but merely argues (in the separate statement) that, "The economic loss rule does not apply to fraudulent inducement." However, no fraudulent inducement cause of action was pled in the Complaint. As such, Plaintiff has not sustained its burden to create a triable issue of material fact as to the 5th cause of action. The Court grants the Motion as to Issue 5 as well. Effectively, Motion for Summary Judgment is GRANTED. Objections (ROA 109) 1-2 Sustained, 3-13 Immaterial to Disposition of the Motion. [CCP § 437c(q)]. *Defendants to provide notice and proposed judgment.*
109	Guillermo Ariel Ojeda-Xicotencatl vs. Atlas Van Lines, Inc. 23-01363644	**HEARING ADVANCED TO 9:30 A.M.** Defendant David Arthur Hawthorne ("Defendant") moves for an order granting summary adjudication on the prayers for punitive damages against plaintiffs Guillermo Ojeda-Xicotencatl and Ema Gutierrez Macias. Defendant's Objection Nos. 7-21 are OVERRULED. The Court declines to rule on the remaining objections, as the evidence objected to is not material to the disposition of this motion. (Code Civ. Proc., § 437c(q).) Defendant argues summary adjudication on the prayer for punitive damages should be

		granted because there is no evidence beyond showing that he operated a vehicle while under the influence of alcohol. He argues that something more than mere recklessness is required that demonstrate circumstances of aggravation or outrage, a fraudulent or evil motive, or such a conscious and deliberate disregard of the interests of others that the defendant's conduct may be called willful or wanton. He asserts that while he had drunk alcohol the night before the accident, he had not drunk any alcohol the date of, he had no prior history and practice of driving a motor vehicle under the influence of alcohol, has no prior convictions of driving under the influence, and did not intentionally perform an act from which he knew, or should have known, that a high probability of harm would result. A claim for exemplary damages requires a showing that the defendant is guilty of oppression, fraud, or malice. (Civil Code, § 3294(a).) "Malice" is defined as conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (Civil Code, § 3294(c)(1).) "Oppression" is defined as despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (Civil Code, § 3294(c)(2).) " 'Despicable conduct' is defined [in jury instructions] as 'conduct which is so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.' Such conduct has been described as '[having] the character of outrage frequently associated with crime.' " (*Tomaselli v. Transamerica* Ins. Co. (1994) 25 Cal.App.4th 1269, 1287.) To support a claim for punitive damages, something more than mere commission of a tort is required. (*Taylor v. Superior Court* (1979) 24 Cal.3d 890, 894-895.) Mere reckless disregard is insufficient. (*Id*. at p. 895.) However, "a conscious disregard of the safety of others may constitute malice within the meaning of section 3294 of the Civil Code. In order to justify an award of punitive

		damages on this basis, the plaintiff must establish that the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences." (*Id*. at pp. 895-896.) In *Taylor*, the plaintiff's complaint alleged that the defendant had been an alcoholic for a substantial period of time and was aware of the dangerousness of driving while intoxicated, had been arrested and convicted for drunk driving on numerous prior occasions, and had previously caused a serious accident while driving under the influence. (*Id*. at p. 893.) The California Supreme Court held that it had "no difficulty concluding that [the pleadings] contain sufficient allegations upon which it may reasonably be concluded that defendant consciously disregarded the safety of others. There is a very commonly understood risk which attends every motor vehicle driver who is intoxicated. [Citation.] One who wilfully consumes alcoholic beverages to the point of intoxication, knowing that he thereafter must operate a motor vehicle, thereby combining sharply impaired physical and mental faculties with a vehicle capable of great force and speed, reasonably may be held to exhibit a conscious disregard of the safety of others. The effect may be lethal whether or not the driver had a prior history of drunk driving incidents." (*Id*. at pp. 896-897.) While Defendant claims that he drank alcohol the night before but not the date of the incident, this assertion misconstrues his deposition testimony. In actuality, Defendant testified that he knows he was drinking the night before but could not recall if he began consuming alcohol right before he began driving on July 5, 2023, the date of the accident. (Declaration of Spencer R. Lucas, Exhibit 7, 47:10-14.) He also testified that he could not recall whether he drank on the date of the collision but he knew that he was "pretty drunk." (Id., 54:17-19.) Defendant's admission that he was drunk during the accident renders his claim that he stopped drinking the night before meaningless and irrelevant. Even if he did not consume alcohol the date of the accident, he was aware that he was drunk when he got behind the wheel.

		Defendant also testified that he consumed alcohol while knowing he would be operating a commercial vehicle and he was aware of the dangers and potential harm of driving under the influence of alcohol. (Id., 42:10-17.) Defendant conceded that he is an alcoholic and began alcohol treatment in 1998. (Id., 51:9-17.) Moreover, plaintiff Ojeda-Xicotencatl presents evidence showing that Defendant was arrested for driving under the influence on February 8, 1998 and November 26, 2022. (Lucas Decl., Exhibits 4-5.) Based on the evidence of Defendant's history of alcoholism, his awareness of the dangers posed by driving under the influence—which are certainly compounded while operating a large tractor-trailer—and Defendant's history of arrests for driving under the influence, the Court finds that a reasonable trier of fact could conclude that Defendant acted with conscious disregard of the rights and safety of others. Therefore, Defendant's Motion for Summary Adjudication is DENIED. Plaintiff Ojeda-Xicotencatl's request for sanctions under Code of Civil Procedure section 128.5 is DENIED, as there is no evidence of subjective bad faith. (See In re Marriage of Sahafzadeh-Taeb & Taeb (2019) 39 Cal.App.5th 124, 134.) *Defendant to give notice.*